Public goods and free riding

Ten residents of a street each place a value of $100 on the installation of streetlights: overall, they would get a benefit of $1,000. So if the cost of the lights was less than $1,000, it would be beneficial to install them, with each resident contributing to the cost.

But streetlights are a special kind of good known as a public good: no one can be excluded from using them, and one person’s use does not reduce their availability to others. Why, then, would a resident admit to valuing streetlights at all and contributing to their installation? It would be more rational for him to feign indifference, knowing that once the streetlights were installed he would still benefit because he couldn’t be excluded from their use. If all the residents ‘free ride’ in this way, no contributions are made and the streetlights don’t get installed. Free riding means that markets cannot supply public goods: one of the main roles of government is to invest in socially beneficial public goods such as national defence.